the ruble in 2009–2011 to press for ruble dominance, but other members of the customs union were resistant to commit fully to the ruble. Putin eventually relented in October 2012.[163]

Trade among Russia, Belarus, and Kazakhstan has been falling since 2013, and Russia is losing both share and investment dominance to China.[164] In February 2015, Putin nonetheless resurrected the idea of a currency union for the EEU and instructed Russia's central bank and other parts of the government to develop a single currency and a Eurasian Central Bank by 2025.[165] But regional concerns and trade have not shifted favorably, and thus some experts dismiss this plan as a pipe dream. Although currency unions facilitate trade and integration, as Robert Mundell shows, they require certain basic elements that are mostly lacking in the EEU.[166]

Russia's Futile Pursuit of Currency Power

Of all the BRICS, China and Russia have most strongly supported diversifying the international monetary system, calling for inclusion of emerging-market currencies in the current SDR basket. Both also favor increasing the use of the RMB and ruble in place of the U.S. dollar in their transactions for mutual settlements. Russian leaders believe that great powers have great currencies, and this belief carries over to the BRICs which have jointly advocated for a multicurrency international monetary system since the first summit in 2009. Juliet Johnson suggests that Russia's ambitions for ruble internationalization limit the extent to which Moscow can support the Chinese yuan as an alternative to the U.S. dollar,[167] but Russia may become entrapped as its dependence on China grows.

Russia faces two contradictory challenges in a currency diversification strategy. First, as a petro state, Russia needs hard-currency reserves to protect against currency and budget crises generated by oil price fluctuations. When Russia shifted to a free-floating currency in 2014, the silver lining of the declining ruble in the crisis was that it cushioned plunging oil prices. Oil production costs and government expenditures are denominated in rubles, while oil profits in dollars account for 40–50 percent of fiscal revenue. Second, Russia's economic decline has significantly weakened its bargaining power with China and its prospects as a financial power. Meanwhile, China's economic rise transformed global trade patterns